



Private and public companies

While the owner-shareholders of a private company may buy and sell their shares privately (usually with director approval), any investor in the financial market can trade the shares of a public company.

How it works

Although most of the world's companies are set up as private, public companies are seen as more prestigious and profitable. For business ventures requiring large amounts of capital, a public company offers greater opportunity for raising funds, since shares can be sold to public investors to generate cash. Private companies must rely on private investors or use the capital investment of their owners. Public companies are subject to more stringent legal controls than private ones, and are expected to disclose financial details.

27 million
the number of companies
in the US, fewer than
1% of which are public

FAMOUS PRIVATE COMPANIES

- **Mars** Confectionery and pet food; third-largest private US company
- **Rolux** Swiss-based English company making status-symbol watches
- **LEGO®** Danish company producing household-name toy bricks
- **Hearst Corporation** Mass-media multinational based in New York City
- **IKEA** Swedish retailer registered in Netherlands selling flat-pack furniture
- **PwC** Largest professional services network



Differences between private and public companies

Private company directors have to weigh up the potential capital increase of floating on the stock exchange against the legal red tape aimed at protecting public shareholders.



Private

Directors

Usually control all of the shares.

Reporting

In the US, no disclosure is required outside the company; in the UK, it is mandatory to file accounts at Companies House.

Shareholders and management

Shareholders are often actively involved in management so decisions can be made quickly.

Financing

Company must rely on private investment, which is often harder to attract because there are fewer financial details available.

Valuation

Value of the company is more likely to fluctuate; it is more difficult to assess because there are fewer available financial details.

Size

Number of shareholders is limited, usually to fewer than 2,000.